Study Guide, Midterm 1

ISS 2440: Introduction to Philosophy, Politics, Economics, and Law · Fall 2026

Exam: Monday, September 14, in class. Closed book, closed notes, no devices. Fifteen multiple-choice questions (4 points each) and three short essays, of which you answer two (20 points each). No math, no calculations, no diagrams. The questions are about concepts, arguments, and the examples used in class or in the readings as illustrations.

What the exam covers: Weeks 1–4: the two visions, the economic way of thinking, the division of labor, property rights. The Week 2 applications to crime, discrimination, and inequality were not covered in class and are *not* on the exam.

Required readings: Sowell, *A Conflict of Visions*, chs. 1–3. Bastiat, "What Is Seen and What Is Not Seen" (assigned selections). Smith, *Wealth of Nations*, Book I, chs. 1–3. Alchian, "Some Economics of Property Rights" (1965).

Week 1. Two visions (Sowell)

- What a vision is: a pre-analytic sense of how the world works, held before the evidence.
  - Like a map: useful because it leaves things out; dangerous when mistaken for reality.
  - Facts test theories, never visions.
  - Interests affect visions only indirectly (millions with nothing at stake take sides).
- The root question, "what kind of being is man?", and the two answers.
  - Constrained: limits to human knowledge and motivations are inherent. Incentives need to be used to channel human behavior. There are only trade-offs, no solutions.
  - Unconstrained: flaws are contingent products of institutions. The goal should be to dispel vice or ignorance. Solutions exist and intentions matter.
  - Constrained: Smith, Burke, Hamilton vs. Unconstrained: Godwin, Condorcet, Rousseau).
  - Ideal types: constrained vs. unconstrained visions do not map the political left vs. right.
- The set pieces and what each one shows.
  - Smith's Chinese earthquake: sympathy is limited; govern conduct, not feelings.
  - Hamilton ("the imperfection of the Institutor") vs. Robespierre. American vs. French Revolution.
  - Godwin's missing category: unintended benefit. The butcher, the brewer, and the baker feeding a city while it is not in their intention to do so (they are driven by profit).
  - Knowledge: Burke's "general bank and capital of nations and of ages" vs. Condorcet's "imprint of time."
  - Articulated vs. systemic rationality. Holmes: "the life of the law has not been logic: it has been experience."

Week 2. The economic way of thinking

- Seen and unseen: "between a good and a bad economist this constitutes the whole difference."
  - Broken window: "destruction is not profit."
  - Troops, taxes, public works: judge them on their merits, never by the jobs they "create."
  - Frugality: "to save is to spend."
  - The candlemakers' petition, stadiums, etc. → the concept of opportunity cost.
  - The concept of unintended consequences (generally the unseen):
    - One example given in class: Opium in Afghanistan. Eradication ended up going against the policy's stated goals.
- Positive vs. normative: what is vs. what ought to be. only the first is testable.
  - Friedman (1953): policy fights are mostly about predictions.
  - Smith and Hume on the clergy: same fact, opposite verdicts.
  - Scarcity means some rule must discriminate; economics is silent on which goods *ought* to go to markets (parking).
- Opportunity cost: the value of the next-best alternative foregone; cost depends on the chooser.
  - Nothing is valued absolutely. Things are valued relative to each other.
  - The margin: diamond/water paradox.
  - Opportunity cost is the constrained vision's trade-off. → Always ask "compared to what?"
- The economic approach: stable preferences, maximizing under constraints, equilibrium.
  - *De gustibus*: explain behavior by prices and incomes, not by changing tastes (Stigler and Becker).
  - Becker: a method of analysis, not an assumption of selfishness.
  - Beliefs that need not be true to work.
    - Ordeals (only the innocent chose the ordeal), the polygraph.
  - Even allocating moral concern has an opportunity cost.
- Smith as development economist: same people + different incentives = Different outcomes.
  - Hume's "innate inferiority" vs. Smith's incentives.
  - Slavery in the Hungarian and Turkish mines.
- Polylogism and methodological individualism.

  - Marxian and racist polylogisms: rejecting the universality of the logic of human choice. From Marx's premise that ideas are the outgrowth of class to the claim that logic itself differs by class. Others will dismiss theory based on race, creed, etc.
  - Methodological individualism: only individuals act. "the firm wants X" is shorthand. "Who does the maximizing? Whose goal is a social goal?", etc.

Week 3. The division of labor and exchange (Smith)

- Montaigne's fallacy ("no profit but at the expense of another".
  - Value is subjective and ordinal.
  - Exchange is a double inequality of value (Condillac, etc.)
  - Trade happens only if the cost of organizing it is below the gain.
- Visions of power: Power as influence vs power as coercion. A threat removes options, an offer adds one.
  - Is analyzing social phenomena in terms of power helpful? Does it yield testable predictions?
  - Power in market transactions: A seller picks the price or the quantity, not both.
- The market for military replacements: hiring someone to fulfill your military obligations (if you are drafted). both parties gained (positive). Do members of society on net always gain from a positive sum game exchange? Sandel's objection that markets corrupt civic virtue (normative).
- Two meanings of the division of labor: within a process (the pin workshop) and across society (farmer and dentist).
  - A market: institutions that sustain impersonal exchange by lowering transaction costs.
- Smith, Book I, chapters 1–3.
  - Three causes: dexterity, time, machines (invented *because* of the division of labor).
  - Universal opulence "in a well-governed society."
  - Nobody designed it: the propensity to truck, barter, and exchange.
  - The effect of the division of labor on diversity.
  - Lords traded private armies for diamond buckles; feudalism ended without anyone intending it.
- Ricardo in words: Portugal better at both goods, both countries still gain by specializing.
  - Why society? Ricardian law of association: comparative advantage is sufficient to explain why men live together; it "makes society out of individuals."
  - Compare with Aristotle, Grotius, Durkheim: society comes first out of instinct/social predisposition.
- The extent of the market.
- The critics.
  - Rousseau: zero-sum thinking + division of labor creates dependence. Smith's reply: under impersonal markets you are dependent on no particular person → a thousand customers, not one master.
  - Smith's stupefied worker. Marx's "crippled monstrosity" and outside options.

Week 4. Property rights

- Three views of the origin of property.
  - Rousseau: the first encloser. Scarcity is socially constructed. No legitimate property right before civil society.
  - Locke: self-ownership and labor-mixing. Civil society is established to protect property.
    - Homesteading (first user) and the land run (racing dissipates the prize). When is it efficient and when is it not?
  - Hume: property is a convention judged by its utility. The meadow that a thousand neighbors never drain.
- The tragedy of the commons: Aristotle against Plato; overuse under open access, underprovision of shared effort.
- Alchian's definition: authority to choose any use from a non-prohibited class of uses.
  - Public vs. private: salability is the main difference. Under public ownership, wealth depends less on his own choices and nobody specializes in control or risk bearing.
  - Ownership is a bundle that can be split and traded (one field, many owners; the HOA house; the CEO's restricted stock; a bank's articles).
- Three kinds of rights: legal (what the law assigns you), economic (what you can actually enjoy), moral (what society regards as yours); none implies the others.
- Externalities and internalization: Rousseau inverted → property as the solution to conflict over scarce goods.
  - Demsetz: rights emerge when the gains from internalizing an externality exceed the cost of establishing rights. The beaver: Labrador yes, the plains no.
  - Enclosures: Marx's "parliamentary robbery" vs. the 1808 Report; why then: population and prices up, Acts of Parliament cut the cost. Fencing is cheaper per acre for large holdings.
  - Private rights created by people who do not bear the cost can destroy wealth.
- Coase: sparks and wheat. Cheap bargaining: the assignment decides who pays, not land use. Costly bargaining: it can decide use too. Courts can help make things more efficient in that later situation.

- Enforcement is never free.
  - The cost of theft is the resources burned taking and preventing, not the transfer.
  - Allen's rhino: protection costs rise with the prize. Sometimes you protect property by making it worth less.
  - Wealth invites predation: my accumulation raises the nation's defense bill (the defense externality).
  - The Konds' human sacrifice: visible destruction of surplus deters plunder. British force failed, the trade of protection for abandoning the rite worked. Ask what work an institution does: the constrained vision.